

Computing the Aggregate Supply Curve

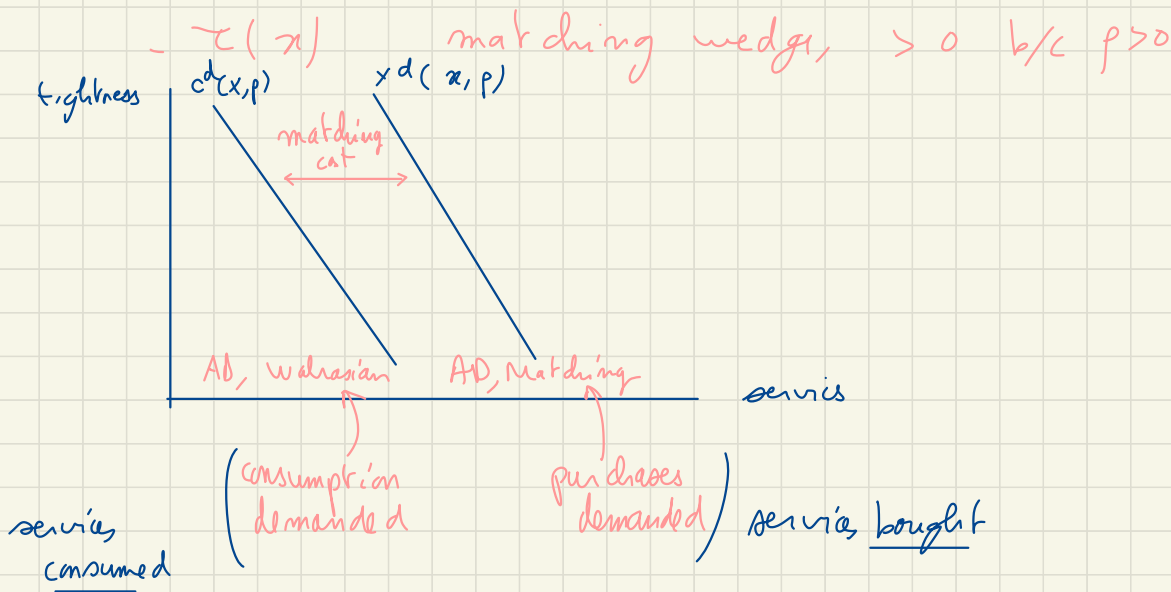
Pascal Michailat
<https://pascalmichailat.org/w/>

Aggregate demand:

- "notional" demand: demand for consumption c
 - computed by maximizing utility, subject to budget constraint
- "effective" demand: demand for purchases y of transactions
 - purchases $>$ consumption because some services must be allocated to matching w/ sellers
 - each visit costs $p > 0$ services
- aggregate demand: $y^d(x, p)$, based on transactions

$$y^d(x, p) > c^d(x, p)$$

$$y^d(x, p) = [1 + \tau(x)] \cdot c^d(x, p)$$



Aggregate supply:

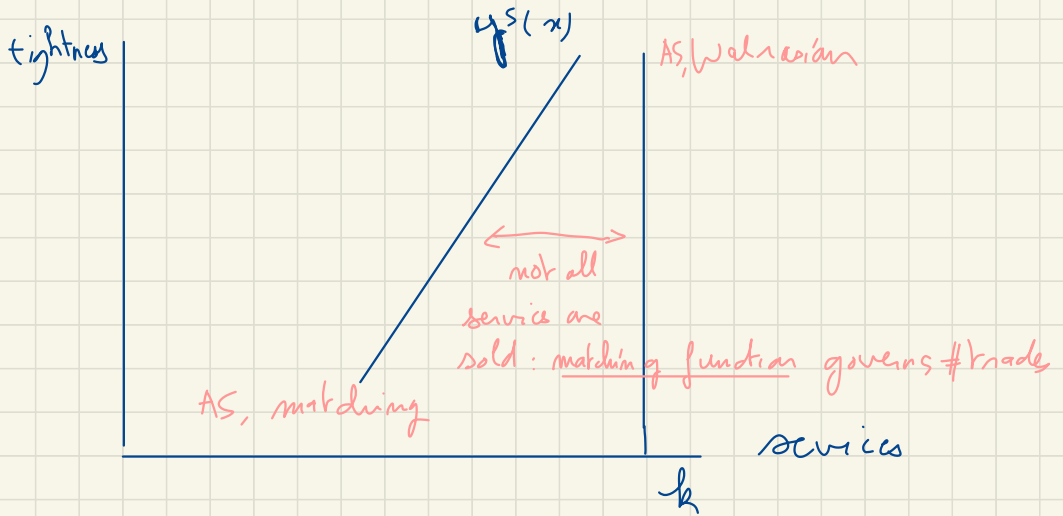
- "notional" aggregate supply: k
 - amount of services that households would like to sell (at given price)
- "effective" aggregate supply: amount of services sold given tightness (and price)
 - services transacted / traded
 - services sold given matching structure
- notions of AD & AS are consistent, both measure services that are traded (so will be able to use equality of AD & AS at any time)

Expression for AS curve

$$y^s(x, p) = f(x) \cdot k = y^s(x)$$

selling probability

AS: amount of services sold given matching structure & amount of services brought to the market by sellers (households) supplied



Both AD & AS curves represent traded/transacted services.